

Voluntary Report – Voluntary - Public Distribution

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Report Name: The United States and Mexico Railroad Supply Chain and Agricultural Trade

Country: Mexico

Post: Monterrey ATO

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Report Highlights:

In 2024, Mexico imported more than 35 million metric tons of grains from the United States. The North American freight rail network is an increasingly important mode of transport for handling the growth in this trade. Based on USDA's Federal Grain Inspection Service (FGIS) inspection data, more than 63 percent of grain inspected for export to Mexico is shipped by rail, 35 percent by maritime vessel, and less than 1 percent by truck.

Background

In Mexico much like the United States, rail is a vital component of freight transportation, especially over long distances. The two largest railway operators providing freight service in Mexico are Ferrocarril Mexicano also known as Ferromex (FXE), and the Canadian Pacific Kansas City (CPKC) providing service through Kansas City Southern de México (KCSM). Other rail freight providers, although in lesser proportion, are Administradora de la Vía Corta Tijuana-Tecate (ADMI), Ferrocarril del Istmo de Tehuantepec (FIT), Ferrocarril y Terminal del Valle de México (FTVM), Ferrosur, (FSRR), and Línea Coahuila Durango (LCD). Also, FONATUR Tren Maya has a mixed assignment to provide freight and passenger service; however, at the time of this report freight operations have not yet started on the recently opened Tren Maya route.



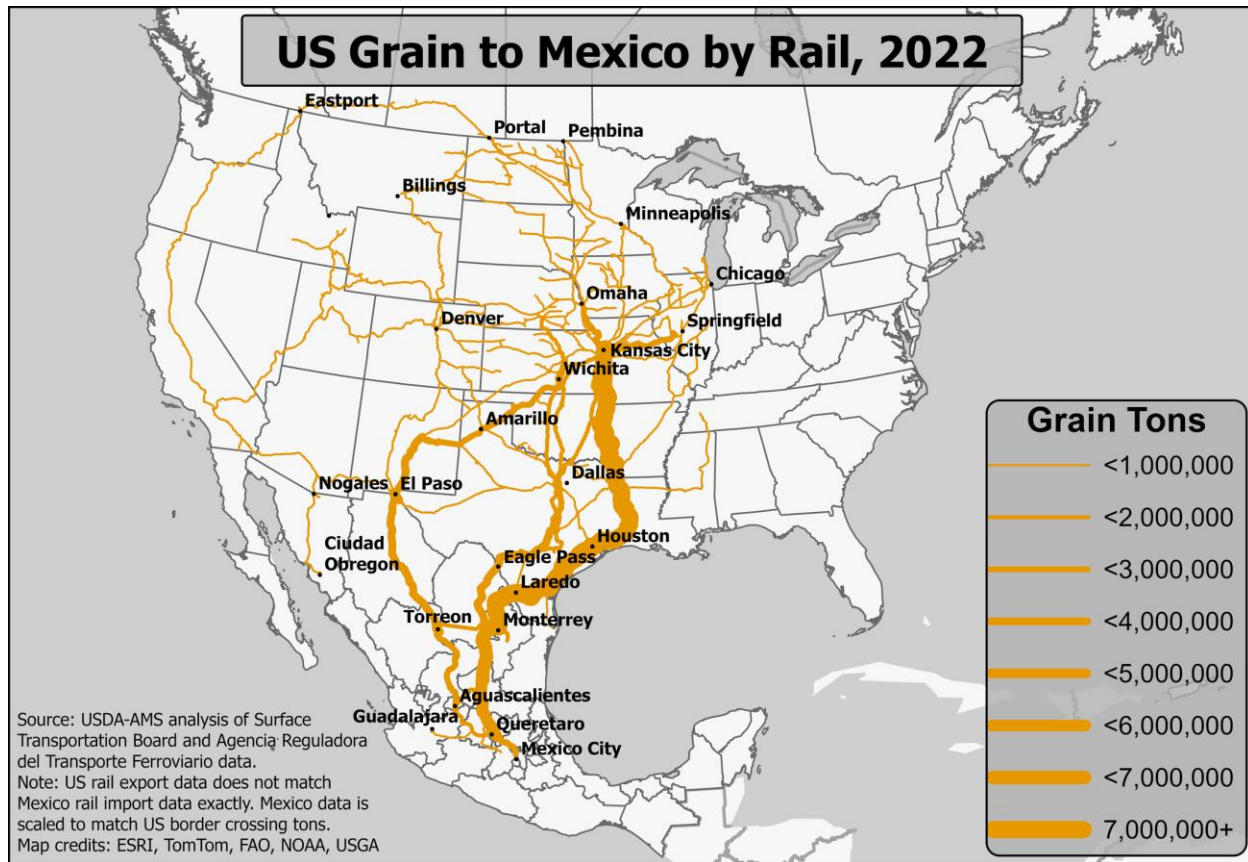
Source: Agencia Reguladora del Transporte Ferroviario (ARTF)

As per the Mexican Railway Transportation Regulatory Agency (ARTF), between 2017 and 2022, the extension of Mexico's railroad tracks did not surpass 26,914 kilometers (16,723.5 miles). In 2023, Mexico's total railroad track reached 27,732 kilometers (17,232 miles), a 3 percent increase over 2022. This growth is due to the incorporation of infrastructure such as the Tren Maya and the Mexico-Toluca inter-urban train. While the Tren Maya route is viewed as a potential line for freight travel, at this time none of these expansions have much if any impact on capacity for freight rail service. The country's major north-south corridors from the U.S.-Mexico border and east-west corridors that connect Mexico's major ports are where rail freight is moved most commonly in Mexico. Overall, total freight rail infrastructure has remained largely unchanged for the last several decades. Most recent and ongoing investment focuses on expansion and improvement of existing track. For example, in the past two years CPKC constructed a second rail bridge in Laredo, TX (one of the key gateways for U.S. grains) and the expanded its rail inspection platform in Estación Sanchez in Nuevo Laredo, Tamaulipas, directly south of the Laredo crossing to accommodate anticipated increases in trade flows. FXE also has numerous

ongoing investments in expanding operations and capacity at maritime ports such as Manzanillo on the Pacific coast, the development of intermodal terminals in the interior of Mexico, infrastructure improvements around the Ciudad Juarez gateway to name a few. Even with these investments in rail infrastructure, in recent years the volume of both agricultural and non-agricultural trade on the rails has at times caused delays and stoppages that have affected the movement of U.S. agricultural exports to Mexico.

These delays were most acute in 2023 and 2024 due to a range of factors including high demand in Mexico for U.S. bulk exports, intermittent disruptions at major rail hubs and ports, and an overall increase in demand for freight rail service. With the intensification of economic activity between the United States and Mexico in recent years, agricultural trade is but one part of a very large and complex ecosystem. In 2023, rail freight service for total cargo reached 131.48 million tons, a 2.35 percent increase over the previous year. In 2023, top products transported by rail belonged to the industrial sector with 48.54 percent of total cargo moved, a 6.30 percent increase versus 2022. Commodities from the agricultural sector accounted for 26.73 percent of total cargo moved, an increase of 3.44 percent over the previous year. Petroleum and its derivatives accounted for 12.18 percent of cargo with an increase of 7.59 percent versus 2022, and mineral cargo represented 10.59 percent of total cargo. Approximately 73 percent of total cargo on rail in Mexico was transported across the U.S. – Mexico border, with the remaining 27 percent corresponding to rail shipments to and from Mexico's seaports. In terms of providers, FFE accounted for 47 percent of total cargo volume moved, with KCSM next with 38 percent. FSRR accounted for 12 percent, as the primary line between Mexico's port of Veracruz and points inland. Smaller freight lines/providers mentioned above accounted for the remaining 3 percent.

The large volume of bulk grain shipped in unit trains from the United States consists mainly of corn, soybeans, sorghum, and wheat. The map below shows the key gateways for U.S. bulk grain shipments to Mexico. The Texas ports of Laredo, Eagle Pass, and El Paso account for well over 90 percent of railed grain shipments to Mexico.



Other products like powdered milk (nonfat-dry milk), whey, rice, lentils, beans and chickpeas are shipped in box cars. The logistics for boxcar shipments of food/ag products are more complex due to the maneuvering in the operating yard during the inspections process. Upon completion, these boxcars are coupled to a miscellaneous train to reach destination.

Ports of Entry

There are seven railway crossings along the U.S.-Mexico border (in descending order by volume):

- Laredo, Texas – Nuevo Laredo, Tamaulipas
- El Paso, Texas – Ciudad Juárez, Chihuahua
- Eagle Pass, Texas – Piedras Negras, Coahuila
- Brownsville, Texas – Matamoros, Tamaulipas
- Nogales, Arizona – Nogales, Sonora
- Calexico, California – Mexicali, Baja California
- San Diego, California – Tijuana, Baja California

A range of factors will determine which port of entry will be used to enter Mexico for any given commodity or supply chain, from production zone in the United States to the end user in Mexico. Also, prevailing circumstances at border gateways such as capacity concerns/bottlenecks, rail service availability, and ongoing rail embargoes can also play a role. Overall, though, a product's origin, customer, and transportation service provider with the best proximity will remain the overriding considerations.

As noted above, U.S. agricultural products were embargoed for extended periods of time in 2023-24 primarily due to the surging demand in Mexico for U.S. bulk grains. In 2025, more widespread embargoes of all agricultural shipments to Mexico subsided. According to FXE and CPKC, from January through March 2025, the number of unit trains transporting grain from the United States to Mexico remained stable compared to the same period in 2024.

Outlook/Conclusion

U.S. agricultural exports to Mexico have grown robustly in recent years, and while the most acute stoppages and delays on the U.S.-Mexico rail system have abated in the last year, a range of factors in crop production and trade can influence the demand from the Mexico food system for U.S. inputs. According to current USDA official forecasts, Mexico's production in wheat is forecast to drop significantly in 2025/26, while production for other major grains like corn, rice, sorghum and barley are forecast relatively stable. Mexico's grain and soybean imports, of which the United States is the primary supplier, are expected to continue their growth. That increase in volume will rely primarily on the freight rail sector, and the efficiency of the U.S.-Mexico freight rail network will remain a key consideration for delivering these exports to market.

Attachments:

No Attachments.